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EQUITY Bank
The Listening, Caring Financial Partner

EQUITY Kenya FY'2025 Earnings Note

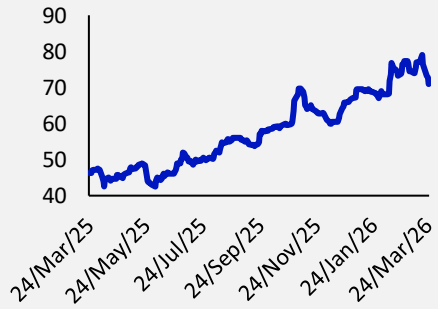


Equity Group FY'25 Earnings Note

March 26th, 2026

Ticker Information	
NSE Code:	EQTY
Issued Shares (Bn):	3.77
52-week high:	KES 80.00
52-week low:	KES 33.70

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(4.7%)	10.5%	31.5%	53.2%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 71.00**	**KES 93.49**

Summary

- **Equity Group delivered exceptional FY'2025 earnings, with profit after tax increasing by 54.7% y/y to KES 75.55Bn**, marking a strong acceleration in earnings growth. Management attributed the performance to the successful execution of its diversification strategy, improved efficiency, and strong regional subsidiary contributions.
- **The Board of Directors recommended a final dividend of KES 5.75 per share,** underscoring the continued commitment to generate shareholder returns.

Key Highlights

- **Income Drivers:** Total operating income increased by 12.3% y/y to KES 217.74Bn, supported by growth across both funded and non-funded income streams. Net interest income rose by 16.8% y/y to KES 126.94Bn, largely buoyed by a significant 29.8% dip in interest expense to KES 46.70 Bn from 61.58 Bn as the lender capitalized on a softening yield curve. Interest income grew moderately by 2.0% y/y to KES 173.64 Bn. Non-funded income grew by 6.7% y/y to KES 90.80Bn, supported by higher transaction volumes across digital channels. Management cited increased activity across its digital ecosystem as a key driver of fee-based income. Regional diversification remained a key pillar of growth, with subsidiaries contributing close to 50.0% of Group profitability, underscoring the strength of Equity's pan-African footprint. Performance was supported by strong momentum across key markets, particularly DRC, Uganda, and Tanzania, driven by loan expansion and improved operating environments.
- **Asset Quality:** The stock of Gross Non-performing loans declined by 9.8%/y/y to KES 110.10 Bn from KES 122.00 Bn, with 82.0% of the bad loans in stage 1. Additionally, we noted that the Gross NPL ratio improved by 2.2 percentage points to 11.8% from 14.0%, staying below the industry median. At the same time, the lender reduced provisioning by 7.6%y/y to KES 47.75 Bn from KES 51.66 Bn.

Operating Efficiency

Operational efficiency improved significantly, with the cost-to-income ratio declining to 51.0% from 58.2% in FY'2024. This was driven by digitization, productivity gains and tighter cost controls. Management noted that over 98.0% of transactions were conducted outside branches, with 88.4% processed through digital channels, highlighting the scalability of its digital infrastructure.

Notably, loan loss provisions declined by 28.2% y/y, with the cost of risk easing to 1.7%, pointing to improving asset quality. We observe that the combination of declining provisions and improved efficiency was a key driver of bottom-line growth, pointing to stronger earnings quality.

Balance Sheet Dynamics

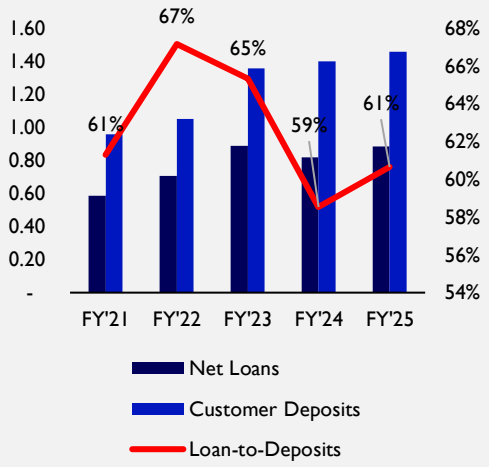
The Group's balance sheet expanded by 9.2% y/y to KES 1.97Tn. Net loans increased by 7.7% y/y to KES 882.46Bn, as appetite for credit improved through the year. Additionally, the lender continued to place liquidity investment securities, evidenced by a 12.9% increase in investment securities to KES 577.78 Bn. We note that the lender continued to pack funds in government securities, taking note of the non-performing loan levels.

On the other hand, customer deposits grew by 4.0% y/y to KES 1.46Tn, providing a stable funding base.

Outlook

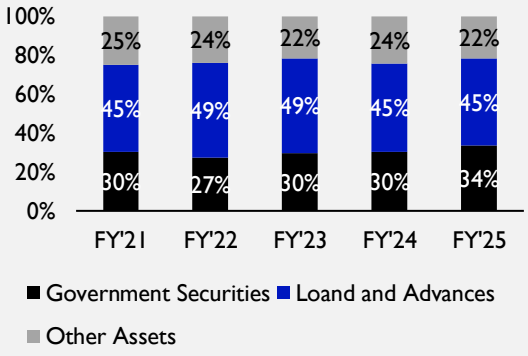
Looking ahead, we foresee continued earnings resilience supported by sustained regional expansion, further digitization, and diversification into non-banking segments, including insurance and technology. Management remains focused on scaling its Africa Recovery and Resilience Plan (ARRP), with emphasis on deepening financial inclusion, enhancing digital capabilities, and driving ecosystem-based growth. We expect revenue growth from both funded and non-funded sides, supported by increased transaction volumes and regional loan expansion. Notably, lower credit costs are likely to support earnings sustainability in the near term, driving revenue growth in the core business segment. However, we remain cognizant of potential disruptions to the monetary policy environment in the event of a prolonged conflict in the Middle East, which could drive inflation higher and prompt a shift from the Central Bank's previously indicated dovish stance. Overall, we view Equity Group as well-positioned to deliver sustained long-term growth, underpinned by its diversified earnings model, strong capital position, and scalable digital platform.

Chart 2: Improved Deposit Mobilization



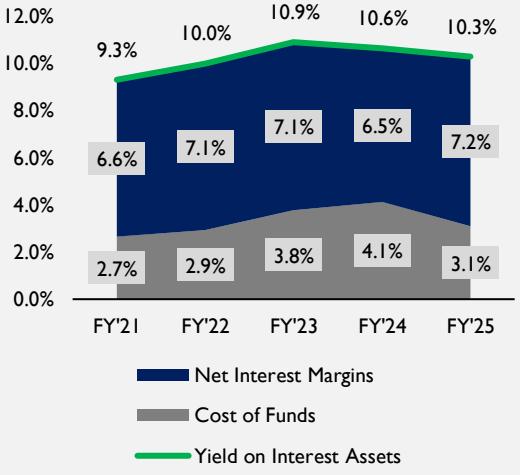
Source: Company filings, AIB-AXYS Research.

Chart 3: Asset Composition Mix



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Recommendation

- **We maintain our BUY recommendation on Equity Group Holdings Plc on account of strong earnings momentum, improving efficiency, and increasing regional diversification.** The current price level of KES 71.00 implies a 31.7% upside to our target price**.** At the current market price, the stock is trading at a P/E ratio of 3.6x and a P/B ratio of 0.9x. Our one-year target price for Equity Group currently stands at KES 93.49.

Income Statement (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Net Interest Income	68.8	86.0	104.8	108.71	126.94	▲ 16.8%
Non-Interest Income	44.6	59.9	76.9	85.07	90.80	▲ 6.7%
Total Operating income	**113.4**	**145.9**	**181.7**	**193.78**	**217.74**	▲ 12.4%
Provision for Impairment	(5.8)	(15.4)	(35.6)	(20.18)	(14.49)	▼ (28.2%)
Total Operating expenses	(61.5)	(86.1)	(129.8)	(133.04)	(125.63)	▼ (5.6%)
Profit before tax	51.9	59.8	51.9	60.74	92.11	▲ 51.7%
Profit after tax	**40.1**	**46.1**	**43.7**	**48.82**	**75.55**	▲ 54.7%
Core EPS Annualized	10.62	12.22	11.59	12.34	19.07	▲ 54.5%
DPS	3.00	4.00	4.00	4.25	5.75	▲ 35.3%

Balance Sheet (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Investment Securities	380.4	368.5	500.5	511.98	577.78	▲ 12.9%
Loans and Advances	587.8	706.6	887.4	819.24	882.46	▲ 7.7%
Total Assets	**1,304.9**	**1,447.0**	**1,821.4**	**1,804.62**	**1,971.16**	▲ 9.2%
Customer Deposits	959.0	1,052.2	1,358.2	1,399.65	1,455.14	▲ 4.0%
Total Liabilities	1,128.7	1,264.8	1,603.3	1,557.76	1,644.89	▲ 5.6%
Total Equities and Liabilities	**1,304.9**	**1,447.0**	**1,821.4**	**1,804.62**	**1,970.99**	▲ 9.2%

Ratio Analysis	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y change
Spreads Analysis						
Yield on Assets	9.3%	10.0%	10.9%	10.6%	10.3%	▼ (0.4%)
Cost of Funds	2.7%	2.9%	3.8%	4.1%	3.1%	▼ (1.0%)
Net Interest Margin	6.6%	7.1%	7.1%	6.5%	7.2%	▲ 0.7%
ROaE	26.0%	29.0%	21.8%	21.0%	27.2%	▲ 6.2%
ROaA	3.5%	3.4%	2.7%	2.7%	4.0%	▲ 1.3%
Profit Margin	35.3%	31.6%	24.1%	25.2%	34.7%	▲ 9.5%
Operating Efficiency						
Cost to Income Less LLP	49.1%	48.4%	51.9%	58.2%	51.0%	▼ (7.2%)
Cost to Assets Less LLP	4.8%	5.1%	5.8%	6.2%	5.9%	▼ (0.3%)
Loan to Deposit	61.3%	67.2%	65.3%	58.5%	60.6%	▲ 2.1%
Asset Quality						
Gross NPL Ratio	8.8%	8.6%	12.3%	14.0%	11.8%	▼ (2.2%)
NPL Coverage	68.7%	76.9%	82.6%	78.0%	73.0%	▼ (5.0%)
Cost of Risk	1.0%	2.2%	4.0%	2.5%	1.6%	▼ (0.8%)
Capital Adequacy						
Core Capital/TRWA	12.9%	15.6%	14.3%	17.3%	19.1%	▲ 1.8%
Total Capital /TRWA	17.7%	20.2%	18.1%	19.0%	20.5%	▲ 1.5%
Liquidity	63.4%	52.1%	53.4%	57.4%	64.7%	▲ 7.3%



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